Chapter Introduction

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Learning Objectives

After studying this chapter, you should be able to

- explain the concept of institutions and their key role in reducing uncertainty.
- articulate the two core propositions underpinning an institution-based view of global business.
- identify the basic differences between democracy and totalitarianism.
- outline the differences among civil law, common law, and theocratic law.
- understand the importance of property rights and intellectual property rights.

- appreciate the differences among market economy, command economy, and mixed economy.
- participate in two leading debates concerning politics, laws, and economics.
- draw implications for action.

Opening Case

Emerging Markets: The Peril and Promise of Russia

Russia is not the Soviet Union. But what is it? Despite the extraordinary transitions moving from a centrally planned economy to a market economy and from a totalitarian regime to a democracy, most of the news we read (in the West) on Russia is negative. Corruption is widespread (Russia ranks 146th out of 180 countries, according to Transparency International). In 2004, Russia was downgraded from “Partly Free” to “Not Free”—on a 1 to 3 scale of “Free,” “Partly Free,” and “Not Free”—by Freedom House, a leading nongovernmental organization (NGO) promoting democracy. In 2012, Vladimir Putin was reelected as president (after he served as president for two terms between 2000 and 2008, and as prime minister between 2008 and 2012). The election was largely symbolic, as all viable candidates were not allowed to run against him. In 2014, Russia successfully staged the winter Olympics in Sochi. Then Russia quickly showed its aggressive side, swallowing Crimea and destabilizing Ukraine. Even before the geopolitical events in 2014, some commentators bearish on Russia had suggested kicking Russia out of the BRIC group, given its alleged lack of dynamism, and to focus more business attention on China, India, and Brazil. After Russia became deeply involved in the mess of Ukrainian politics, the United States, the European Union, Norway, Australia, Canada, and Japan imposed a series of sanctions to “punish” and “isolate” Russia.

Is Russia really that bad? The answer is: Of course not! Russia is simply being Russia. While Russia’s gross domestic product (GDP) is smaller than that of China and Brazil, it is larger than that of India. Russia’s per capita GDP, approximately US$16,000 (at purchasing power parity), is one-third higher than that of Brazil, three times that of China, and five times that of India. Russia has the second-largest automobile market in Europe (behind Germany), and it has more college graduates (as a percentage of population) than any other country. Simply put, Russia is too big and too rich to ignore. None of the high-tech giants (such as Cisco, HP, and Intel) and industrial and consumer goods firms (such as Carrefour, Danone, IKEA, Nestlé, PepsiCo, and Unilever) has announced plans to quit Russia. Russia’s economic growth may not be as fast as China’s or India’s, but it will certainly be higher than US or EU growth. Russia exports more than 30% of its GDP, in contrast to 26% for China, 25% for India, and 13% for Brazil.

Because Russia is so large and complex, how to "read" Russia has remained a constant debate. The debate centers on political, economic, and legal dimensions. Politically, Russia has indeed become less democratic. Certain segments of the population (especially the better educated) are disappointed by the return of Putin. But a more relevant question is: Is Russia better off under Putin's more authoritarian rule since 2000, compared with Boris Yeltsin's more democratic (and more chaotic) rule in the 1990s? Russia under Putin between 2000 and 2008 grew 7% annually, whereas Russia under Yeltsin during the 1990s experienced a catastrophic economic decline.

Economically, the Russian economy indeed has great room for development. It is overly dependent on oil and gas exports, contributing 70% of its US$515 billion exports. In the World Economic Forum's *Global Competitiveness Report*, Russia ranks only 51st in innovation (out of 133 countries), behind China (26th) and India (30th). Dmitry Medvedev, who served as president between 2008 and 2012 (while Putin was prime minister), published an article in 2009 titled "Russia Forward!" He asked a provocative question: "Should we drag a primitive economy based on raw materials and endemic corruption into the future?"

Legally, establishing the rule of law that respects private property is important. In a society where nobody had any significant private property until recently, how a small number of individuals became super-rich oligarchs (tycoons) almost overnight is intriguing. By the 2000s, the top ten families or groups owned 60% of Russia's total market capitalization. The government thus faced a dilemma: Redistributing wealth by confiscating assets from the oligarchs creates more uncertainty, whereas respecting and protecting the property rights of the oligarchs results in more resentment among the population. Thus far, the government largely sided with the oligarchs, as long as the oligarchs played by Putin's rules:

(1) mind your own business—do not get involved in politics, and

(2) pay taxes.

Internationally, the sanctions were designed to target Putin's inner circle first. They soon spilled over to the financial, energy, and defense industries. In retaliation, Russia banned agricultural imports from any country that imposed sanctions. As a result, US$6.5 billion worth of EU agricultural products that normally would have gone to Russia ended up being dumped in the EU. Since Russia accounted for one-third of the EU's fruit and vegetable exports and one-quarter of EU's beef exports, the Russian ban caused prices for Dutch beef, Finnish dairy products, Latvian cabbage, and Spanish peaches to *collapse*. Dealing with the more abundant and cheaper food, the German agriculture minister urged Germans to eat fruits at least five (!) times a day. While governments butted heads, European farmers could not sustain their losses. In August 2014, European taxpayers had to cough up US$200 million in new subsidies to farmers. Firms withdrawing from Russia due to its peril obviously cannot benefit from its promise, and can only salivate over rivals that can tap into the promise of Russia. Since Russians had to eat, Chinese farmers happily started to fill the market vacated by EU farmers. Likewise, as European demand for Russian gas declined, in 2014 China National Petroleum Corporation (CNPC) signed an unprecedented US$300 billion deal with Gazprom, unlocking the vast promise of Russia's underground wealth.

Sources: Based on *(1) Bloomberg Businessweek, 2014, Putin's paradox, September 1: 12–13; (2) Bloomberg Businessweek, 2014, This apple was once headed to Russia, not anymore, September 15: 13–15; (3) Economist, 2012, Moscow doesn't believe in tears, March 10: 62–63; (4) Economist, 2012, Moscow spring, February 11: 12; (5) Economist, 2014, The long game, September 6: 15; (6) S. Michailova, S. Puffer, & D. McCarthy, 2013, Russia: As solid as a BRIC? Critical Perspectives on International Business, 9: 5–18; (7) www.freedomhouse.org.*

Why is Western news reporting on Russia so negative? Does Russia really have a democracy? Does it matter? Is democracy the best political system to develop Russia's economy? Does Russia have the rule of law? If your firm is currently doing business in Russia, should it consider withdrawing from Russia? As the Opening Case illustrates, answers to these questions boil down to institutions, popularly known as the "rules of the game." As economic players, firms play by these rules. However, institutions are not static, and they may change, resulting in

institutional transitions (Fundamental and comprehensive changes introduced to the formal and informal rules of the game that affect firms as players.)

—"fundamental and comprehensive changes introduced to the formal and informal rules of the game that affect firms as players." Examples of institutional transitions include Russia's transitions from a communist totalitarian state to a market economy with regular elections (never mind the imperfections).

Overall, the success and failure of a firm around the globe are, to a large extent, determined by its ability to understand and take advantage of the different rules of the game. In other words, how firms play the game and win (or lose), at least in part, depends on how the rules are made, enforced, and changed. This calls for firms to constantly monitor, decode, and adapt to the changing rules of the game in order to survive and prosper. As a result, such an

institution-based view (A leading perspective in global business that suggests that the success and failure of firms are enabled and constrained by institutions.)

has emerged as a leading perspective on global business. This chapter first introduces the institution-based view. Then, it focuses on *formal* institutions (such as political, legal, and economic systems). *Informal* institutions (such as cultures, ethics, and norms) will be discussed in Chapter 3.